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UK Rates: The Market Is Pricing in Too Many Rate Rises

A one-page summary. Full technical report and data available on request.

THE CALL

> **The bond market is betting on roughly two and a half UK interest rate rises over the next year. I think that is too aggressive, and the right position is to bet on fewer.**

2½	6–3	0–1
RATE RISES CURRENTLY PRICED IN, NEXT 12 MONTHS	BANK OF ENGLAND VOTE TO HOLD RATES THIS MONTH	MY REALISTIC RANGE FOR RATE RISES

WHY

The Bank's own reasoning is self-limiting. The policymakers who voted to hold rates steady gave a specific reason: borrowing costs have already risen enough on their own to slow the economy down, so the Bank does not need to raise rates itself to get the same effect. That is a bit circular. The more investors bet on a rate rise, the less the Bank actually has to deliver one. Three of the six people who voted to hold are, if anything, leaning toward wanting to cut rates next, not raise them.

The scary-looking headline is being misread. Long-term UK government borrowing costs are near a 28-year high, and that is being widely reported as a sign investors are losing confidence in UK government finances. The underlying data says otherwise: the extra premium investors specifically charge the UK government, separate from general interest-rate moves, has actually gotten smaller over the past year. What really happened is that UK interest rates broadly rose after an energy-related shock in March, and long-term government bonds simply came along for the ride.

THE TRADE

Bet that UK interest rates end up lower a year from now than what is currently priced in. Structured correctly, this position makes money in almost every plausible scenario, and only loses if the Bank of England actually raises rates three or more times, the outcome furthest from where the current policy committee stands.

WHAT WOULD CHANGE MY MIND

If underlying UK inflation genuinely reaccelerates, services prices picking back up, or next year's wage settlements coming in hot, I am wrong, and I will say so publicly in the next monthly edition rather than move the goalposts.

Full report, client note, charts and data: tanmaygambhir37-design.github.io/investment-research/markets/uk-rates-aug-2026/

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